AIRBNB INDIA · PRODUCT-LED GROWTH

Fund one loop first: show hosts what guests are searching for

THE BET

Guest → Host Demand Report. It is the only loop that runs with no cash per cycle, and it tests what every other loop depends on: do listings match what guests want?

THE NUMBER

≥20% of hosts act within 2 weeks, against about 8% in a no-report control [P]. 130 hosts per arm gives 80% power at 95% confidence [C].

THE MONEY

Report free for every host. **Host Pro at ₹499 a month** (test price [P]) adds weekly detail and pricing help. It pays for itself if bookings rise 1.25% [C].

Scope: PLG initiatives for Sales, Marketing, Support and Operations · growth loops and flywheel · MVP designs with decision rules · India revenue model · sources.

Labels used on every slide: [S] sourced [C] calculated from stated inputs [P] planning figure [H] hypothesis

Demand is already growing 60%. The open question is whether listings match it.

+60% S

India origin net nights, Q2 2026 vs Q2 2025. First-time bookers in India more than doubled.

[1] Airbnb Q2 2026 results · [2] Asian Hospitality, 11 Aug 2026

~55% S

Domestic group bookings (more than 2 guests) by Indian Gen Z grew almost 55%. 2–6 night domestic stays grew nearly 80%.

[3] Airbnb India “Never the Same”, Airbnb internal data

90% S

of Gen Z travellers seek places not widely recommended online; 63% chose a destination because of a stay (YouGov for Airbnb, n = 2,012, 11 cities, Apr 2026).

[3] Commissioned by Airbnb, so read as directional

+40% S

Gen Z hosts, H1 2026 vs H1 2025. About 2 in 5 new hosts are aged 18–29; about 1 in 7 Gen Z hosts is a Superhost.

[4] Airbnb India via ANI, 25 Aug 2026

PROBLEM STATEMENT

Indian hosts, 2 in 5 of them new and under 30, currently **list and update without seeing what guests in their area filter for**, because that demand signal stays inside Airbnb’s search data. This results in listings that miss guest needs, so **conversion lags demand growth**.

Jobs to be done

- **Guest:** when I plan a trip with friends, I want a stay that fits our group and taste, so we spend the time together.
- **Host:** when I list or update, I want to know what guests here want, so my place gets booked.

Which side is constrained?

Working bet: **supply match quality** H. Guest demand needs no push: nights grew 60% with no incentive. If hosts cannot see local demand, more guests will meet listings that do not fit them. The test is on slide 8.

Sources [1]–[4] on slide 16

Root cause: no feedback path from guest search to host

5 Whys on the host side H. The chain is a hypothesis until the pilot on slide 8 confirms that hosts act when they can see demand.

1	**Why do new listings under-convert?** They lack features guests filter for, or show them badly.
2	**Why do hosts miss those features?** They do not know which ones matter in their area.
3	**Why do they not know?** Hosts see only their own views and bookings, not market demand.
4	**Why is market demand not shown?** It sits in search logs with no host-facing surface.
5	**Why no surface?** The product was built to complete bookings, not to teach hosts.

Root cause: there is no loop from what guests search to what hosts build.

Host segment	Fit for the report
New hosts, first 90 days Gen Z heavy: about 2 in 5 new hosts are 18–29 S	**Target.** No booking history to learn from, most to gain, most open to coaching.
Established Superhosts About 1 in 7 Gen Z hosts S	Learn from reviews already. Get deeper data later through Host Pro.
Multi-listing managers	Buyers of Host Pro. Not in the first test.

Withheld on purpose

Guests see no new feature. They feel the loop through better matches. Building guest-side features first would add choice before supply fits it.

[4] ANI, 25 Aug 2026 · segments and chain are the analysis in this deck

Four loops, one ranking: RICE decides which gets funded first

Loop test first: does a cycle need cash, and does its output become the next input? Then RICE = Reach × Impact × Confidence ÷ Effort. All inputs are planning figures P.

Loop	Cash per cycle?	Output feeds input?	Reach	Impact	Conf.	Effort	RICE	Rank
Guest → Host Demand Report	No	Yes: search → report → listing → bookings → search	20%	1.0	50%	0.5	**20.0**	**#1**
Travel Intent Discovery	No	No: lifts conversion, creates no new users	6%	1.0	50%	1.0	**3.0**	**#2**
Creator & Traveller Referral	Yes: stay credit each cycle	Partly: only while subsidy runs	3%	1.0	50%	1.5	**1.0**	**#3**
India Trip Recap (shareable)	No	Yes, if recipients share: share → view → signup	2%	0.5	30%	1.0	**0.3**	**#4**

Reach = % of India bookings touched per quarter at scale: report 100% of hosts reached × 20% who act = 20%; intent prompt 40% of searches see it × 15% answer = 6%; referral 3%; recap 2%. Impact 0.25–3 scale. Effort = person-months to a decision-grade manual MVP.

Sensitivity

The report stays first while Reach × Confidence ≥ 1.5 points. At reach 5% and confidence 30% it scores 3.0 and ties for second. It needs to be wrong on both inputs to lose the lead.

Cost of waiting for referral

A ₹2,400 stay credit (40% of a ₹6,000 stay P) against ₹796 of platform revenue per booking (13.3% take rate × ₹6,000 C) needs **3 bookings per referred guest** to pay back. Nights already grow 60% without it S, so a 6–8 week wait defers little.

Take rate = Q2 2026 revenue $3,608M ÷ gross booking value $27.2B = 13.3% [1]

Each function gets a self-serve lever, so growth does not depend on headcount

The product does the first-touch work. People focus on the cases that need judgment. Baselines are not public; targets are planning figures P

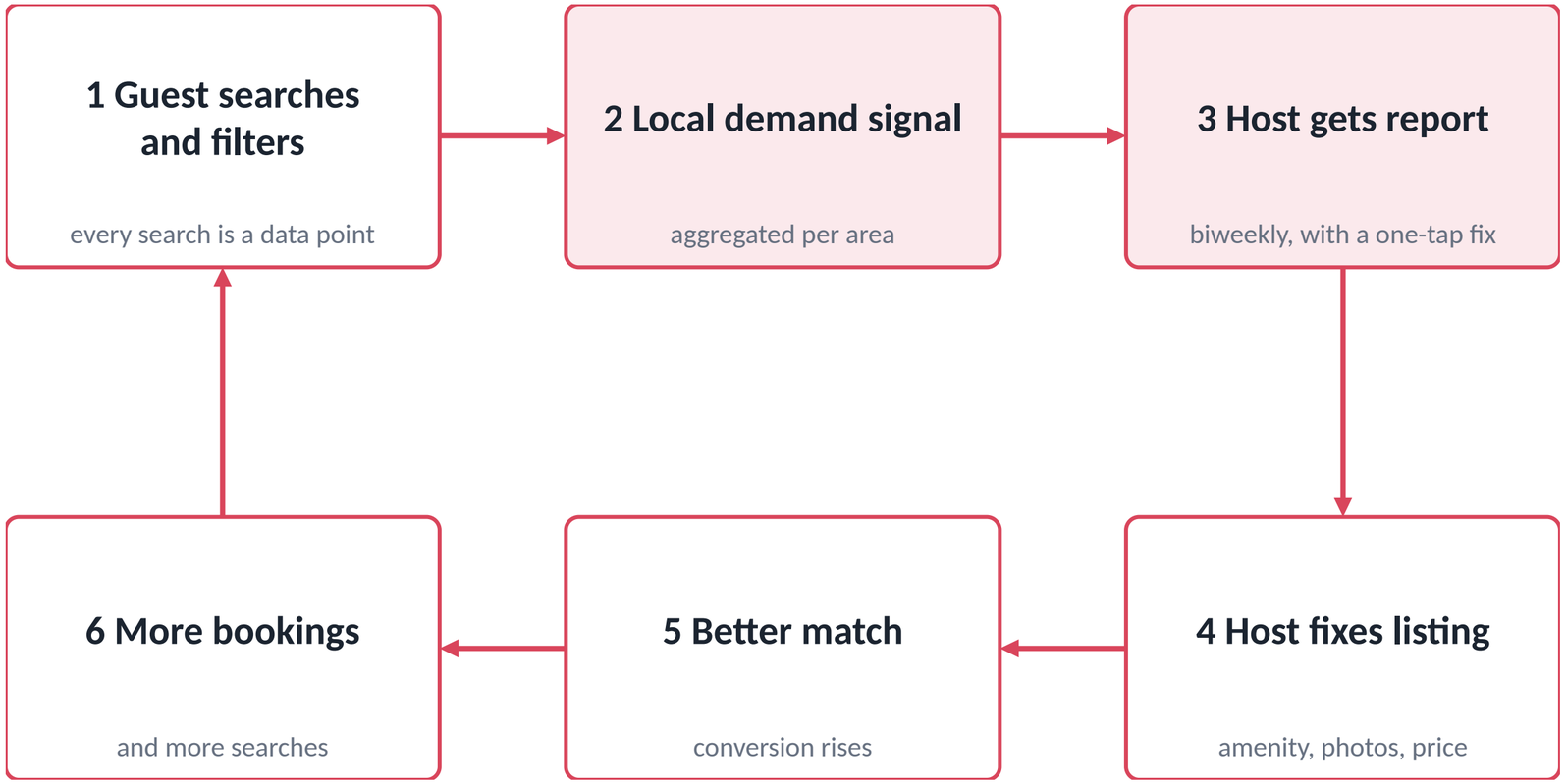
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Function	Bottleneck	PLG initiative	Metric	Target	Why it fits India
Sales	Onboarding calls do not reach Tier 2/3 hosts	**Instant Listing Assistant:** photos → AI title, description and benchmark price → publish	Listings live with zero sales touch	**n/a → ≥60%**	Gen Z hosts +60% in rural and nearly +70% in low-density urban areas; Indore over +120%
Operations	Manual KYC and address checks delay the first booking	**Self-serve verification** inside onboarding (Aadhaar / DigiLocker)	Median days, signup → first bookable listing	**n/a → ≤3 days**	Reusable trust layer for long-stay supply
Support	Early-host queries queue in many languages	**Multilingual host concierge** for KYC, payouts, cancellation; human escalation in one tap	First-30-day tickets deflected	**n/a → ≥50%**	Guardrail: CSAT within 3 pts of human support
Marketing	Paid awareness is costly outside metros	**Shareable trip recap** built from guest content (gated behind slide 4 ranking)	Recap share rate	**n/a → ≥15%**	Starts only after the demand-report gate passes

Evidence for self-serve: Gen Z hosts grew about 40% in H1 2026 and about 2 in 5 new hosts are under 30 S. This is a digitally fluent group, often outside metro sales reach, and it suits a product-led first touch.

[4] Airbnb India via ANI, 25 Aug 2026

Primary loop: guest search becomes host action, and the output feeds the next cycle



Loop test, answered

- **Created by:** any guest search.
- **Received by:** hosts in the same area.
- **Why they act:** a better listing converts better.
- **Next output:** each booking adds search data.
- **Cash per cycle:** none. It uses data Airbnb already holds.

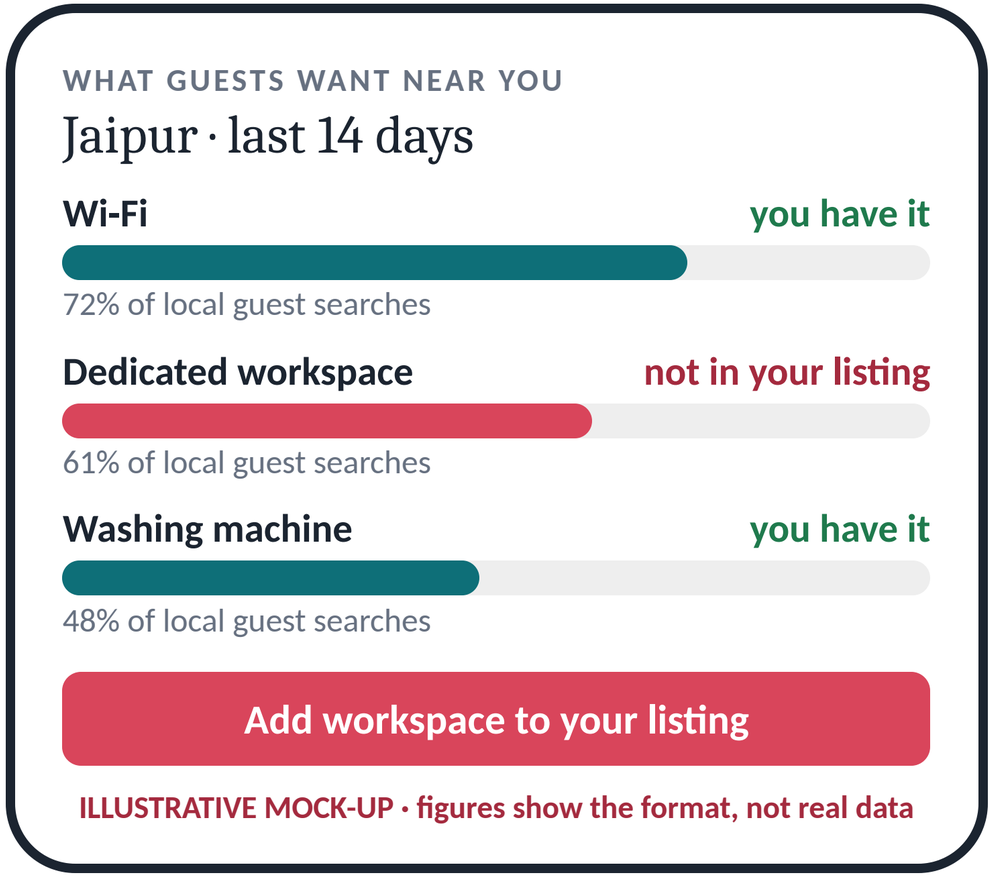
Privacy rule P

Show an item only if at least 30 searches from at least 10 distinct guests in 14 days. Never show an individual search.

Why it compounds: more guests in a market make the signal sharper, so the report gets more useful. That is a data network effect. It does not stop when a marketing budget is cut.

Loop structure follows the session's growth-loop framework (acquisition and retention loops)

The feature: a report a host can act on in under a minute



What the report must do

- **Compare, then act:** top 3 local filters against the host's own listing, with a one-tap fix.
- **Biweekly:** two cycles fit the 4-week test window.
- **Local only:** area-level counts, never an individual search.

Free hook, paid depth

The top-3 report is free for every host. **Host Pro** adds weekly detail, price benchmarks and AI pricing. The free report is the activation step; the paid tier captures value later (freemium).

Why a report before a dashboard

A dashboard is an engineering project. A hand-built email tests the same question: will hosts act on demand data at all?

Format idea from the original submission; percentages in the mock are placeholders

MVP 1: a manual report, tested against a holdout, with decision rules set in advance

Hypothesis	If new hosts get a biweekly local demand report, at least 20% will make 1 or more listing updates within 2 weeks, against about 8% with no report P, because they cannot see local demand today.
Population	260 hosts in their first 90 days with below-median booking conversion, in 2 pilot cities. Random split: 130 report, 130 holdout.
Sample size	n per arm = $(1.96 + 0.84)^2 \times [0.08 \times 0.92 + 0.20 \times 0.80] \div (0.12)^2 = 127$, rounded to 130. 95% confidence, 80% power C.
Treatment and prototype	Hand-built email report from existing search logs. No dashboard, no engineering. Holdout gets the current experience.
Primary metric	Host action rate: share making 1 or more listing updates in 2 weeks. Pass: ≥20% in treatment and ≥10 points above holdout.
Secondary metric	Bookings per live listing at week 6, treatment vs holdout. Pass: ≥8% higher P, read with a 90% interval. Week 6, not week 2, so the novelty effect has faded.
Scale rule	Both pass → build the self-serve report.
Stop rule	Action rate below 10% after 2 cycles (4 weeks) → stop and re-test the root-cause hypothesis.
Guardrails	Guest rating of treatment listings falls no more than 0.05 stars vs holdout · unsubscribe rate under 15% · any privacy complaint pauses the test · at least 80% of hosts say the report took under 1 minute to read P.
Second-order effect	Hosts may all add the same amenity. If more than 60% of acting hosts add one item P, rotate which gaps the report suggests.

Sample-size formula: two-proportion test, α = 0.05 two-sided, power 0.80 · baseline 8% is a planning figure, confirmed from host logs

Three more MVPs, each manual first, each with a threshold and a stop rule

MVP	Setup	Pass	Stop	Guardrail
2 · Creator referral Starts at week 5, only if MVP 1 passes	30 creators, each with a tracked code and a 40% stay credit (₹2,400 on a ₹6,000 stay P). Tracked in a spreadsheet. Incrementality read against matched destinations without creators. **Budget cap ₹1.5 lakh** P: ₹72,000 credits (30 × ₹2,400 C) plus ops.	Cost per incremental booking at or below blended paid CAC (Airbnb internal figure, entered at the gate), and referred guests rebook within 90 days at least as often as organic ones.	Fewer than 40 attributed bookings by week 8, or cost per booking above paid CAC.	Referred-guest cancellation no more than 2 points above organic P.
3 · Travel Intent prompt	Clickable prototype in a 5-second test with 100 Gen Z travellers: “What is this trip for?” (family, friends, workation, wellness). n = 100 gives ±9.8 points at 95% C.	At least 50% pick an intent chip.	Below 30% → drop.	Time to first search result must not rise more than 1 second P.
4 · Trip recap Gated, after MVP 1	4 templates built in a design tool and sent by email or WhatsApp to 100 recent guests, with opt-in.	Share rate at least 15% (15 of 100) P.	Below 5% → drop.	Opt-out under 5% P.

What each one teaches: MVP 2 tests whether referral is product-led or paid acquisition with a code. MVP 3 tests intent before destination. MVP 4 tests whether guests want to share a trip memory at all. All three are cheaper than the build.

Paid CAC is not public; the pass rule is relative and is set when Airbnb’s figure is entered

Revenue model: one move first, three tested, three not now

HOST FEE TODAY
15.5% single host-only fee, replacing 3% host + about 14–16% guest [S]. India rate taken as the same; confirm before launch [P].

TAKE RATE
13.3% = revenue $3,608M ÷ gross booking value $27.2B, Q2 2026 [C].

EXPERIENCES
20% commission on the final price [S].

#	Segment	Model (course term)	Proposal	Status
1	**All hosts → pro hosts**	Freemium + value-added pricing	Free demand report. **Host Pro ₹499 a month** [P]; price ladder ₹299 / ₹499 / ₹799 tested by random host.	**First**
2	New Experience hosts	Penetration pricing, loss leader	12% commission for 6 months, against 20% today [P], to build supply.	Time-boxed test
3	New budget hosts (under ₹2,500 a night [P])	Penetration pricing	No fee on the first 3 bookings per host. **Not** a permanent cut.	Test
4	Long-stay guests	Subscription (“Stay Pass”)	₹999 a month hypothesis [H]. Waitlist test only, no build (slide 12).	Validate
5	Hosts wanting visibility	Ads (CPC)	Paid search placement.	Not now
6	Aggregated demand data	Data licensing	Selling the signal outside Airbnb.	Not now

Not now, and why: ads need a saturated market and a relevance floor to protect trust; data licensing would undercut the privacy promise the demand report depends on.

[1] Airbnb Q2 2026 results · [5] Hostfully, host-only fee · [6] Hospitable, Experiences fee

The trade-off arithmetic behind each price

A permanent budget-fee cut

Take variable cost as 6% of booking value (payments, support, trust) P. Contribution now = 15.5% − 6% = 9.5%. At a 12.5% fee: 6.5%.
Bookings needed to hold contribution = 9.5 ÷ 6.5 = 1.46 → **+46%** C. A cut to 14% needs +19% C.

Decision: no permanent cut. It trades margin where margin is thinnest.

A fee holiday instead

Average budget booking ₹3,000 P. Fee per booking = 15.5% × ₹3,000 = ₹465. Waive 3 bookings: **₹1,395 per new host** C. It pays back after 3 further bookings (₹1,395 ÷ ₹465) C.

Decision: test it. The cost is capped per host and ends.

Host Pro at ₹499

Take a pro host as booking ₹40,000 a month P. Break-even lift = 499 ÷ 40,000 = **1.25%** C. For 1,000 eligible hosts at 15% conversion P: 150 × ₹499 = ₹74,850 a month = **₹8.98 lakh a year** C.

Decision: test 3 price points. Core booking tools stay free and Pro buys no ranking.

Experiences at 12%

Revenue per ₹1,000 booked falls from ₹200 to ₹120 (−40%). Volume must rise 200 ÷ 120 = **+67%** to hold revenue C. The real case is attach: Experience guests booking stays more often.

Decision: 6-month test. Stop if bookings per host are up under 40% by month 3 P.

Long stay: a documented supply gap, and a Stay Pass tested before it is built

PUBLIC RESEARCH

- About **0.3M** organised co-living beds against **6.6M** estimated demand in 2025: about **4.5%** covered [C].
- About 50M migrants aged 20–34. Forecast: 1M beds by 2030. Co-living rent up to 35% below a traditional 1 BHK [S].

PUBLIC USER VOICE

- Residents cite a 10 PM curfew, restrictions on guests, food “almost inedible”, no washing machine (Housing.com, Oct 2020, accounts from 10 residents, not a survey).
- Young professionals report deceptive listing photos; only 59% of Hyderabad IT-zone hostels follow safety norms; a basic shared room costs over ₹8,000 a month (Telangana Today, 11 Apr 2025).

Frame

JTBD: a place to live for weeks or months, at a predictable cost, without losing basic freedom. **Pain points** [H]**:** rigid timings, food, amenities. **Ansoff:** market development. It reuses trust and verification, host base and payments; only duration and terms are new.

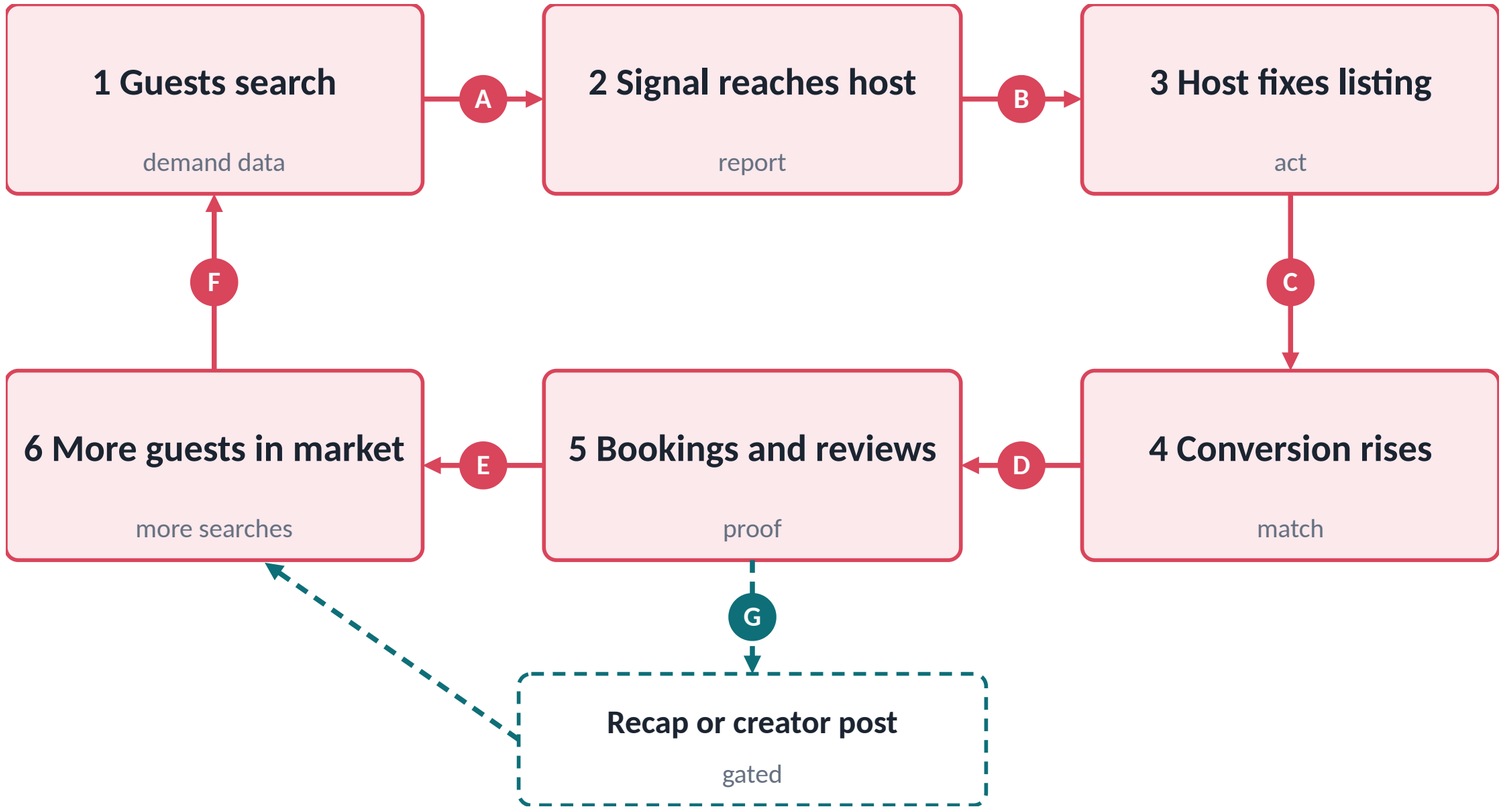
Stay Pass test

Landing page in 2 college or tech-hub cities. Price points ₹499 / ₹999 / ₹1,499. 1,000 visitors gives ±1.7 points on an 8% rate [C]. **Pass:** ≥8% join the waitlist and ≥30% of them choose ₹999 or more [P]. **Stop:** below 4%.

Price anchor: a shared PG room at ₹8,000+ means the pass is not a rent substitute. It sells flexibility, cancellation cover and priority support on top of the stay.

[7] Colliers via The Tribune, 8 May 2025 · [8] Telangana Today, 11 Apr 2025 · [9] Housing.com, 21 Oct 2020

The flywheel: every arrow says why A causes B



- **A** Every filter a guest uses is a data point for that area.
- **B** The report shows the host a gap against local demand, with a one-tap fix. Tested: 20% act.
- **C** The listing now has what guests filter for, so more views become bookings. Tested: +8% bookings per listing.
- **D** More matched stays mean more reviews and more first-time guests who rebook.
- **E** More guests in a market add search volume, so the signal gets sharper.
- **F** Sharper signal makes the next report more useful: the data network effect.
- **G** Dashed, gated: a guest shares only if the recap feels personal. Counted only if share rate is at least 15%.

What breaks it: hosts stop acting (arrow B), or a fee cut or ad push erodes trust in matches (arrow C).

Solid arrows are the funded loop; dashed arrows are gated behind MVP 1

What could go wrong, and the number that stops it

Thresholds are planning figures [P] set before any data arrives, so a result decides instead of starting a debate.

Risk	Why it matters	Guardrail and stop rule	Metric
Hosts ignore the report	Loop never starts	Stop if action rate under 10% after 2 cycles	Host action rate
Hosts copy each other (second-order)	Listings look alike, price competition rises	Rotate suggestions if over 60% add the same item	Share adding same item
Demand signal feels like surveillance	Guest trust, regulatory risk	30-search, 10-guest minimum; area-level only; any complaint pauses	Opt-out and complaints
Referral looks like paid acquisition	Distorts the PLG story and true CAC	Report referral CAC apart from organic; cap ₹1.5 lakh	CAC per incremental booking
Fee holiday attracts hosts who leave	₹1,395 spent with no payback	Stop if 90-day host retention under 60%	90-day retention
Host Pro becomes pay-to-win	Guests lose trust in “best match”	Pro buys no ranking weight; core tools stay free	Guest relevance rating
Self-serve verification lets errors through	Guest safety	Human escalation; pause if error rate above 2%	Verification error rate
Stay Pass fails on low frequency	Subscription economics break	Waitlist test first; stop below 4% signup	Waitlist rate

Risk thresholds are planning figures; the 15.5% fee and 20% Experiences commission are from [5] and [6]

The decision: one loop, one number, and what we are not doing

Weeks 0–1	Build report from search logs. Recruit and randomise 260 hosts.
Weeks 2–5	Two report cycles. Gate 1 at week 4: ≥20% act and ≥10 points over holdout.
Weeks 5–12	If Gate 1 passes: referral pilot (30 creators). Host Pro 3-price test starts.
Week 6	Gate 2: bookings per live listing ≥8% higher than holdout.
Week 12	Decision: build the self-serve report, or re-test the root cause.

THE ONE NUMBER

20% of new hosts act on the report within 2 weeks, against about 8% in the holdout P.

Not doing in the first 12 weeks

- Scaling creator credits before the gate.
- A permanent budget-fee cut (needs +46% bookings).
- Search ads and data licensing.
- Building Stay Pass before the waitlist test.
- A host dashboard before the manual report works.

Sources, planning figures and frameworks

#	Source (date) and link	Type	Used for
[1]	**Airbnb Q2 2026 financial results (SEC Form 8-K, Ex. 99.1), Aug 2026** sec.gov/Archives/edgar/data/0001559720/000119312526337928/d70413dex991.htm	Company disclosure	India nights +60%, first-time bookers 2×, revenue, GBV
[2]	**Asian Hospitality, "Airbnb India bookings Q2 60 percent", 11 Aug 2026** asianhospitality.com/airbnb-india-bookings-q2-60-percent/	Press	60% is origin net nights, not bookings
[3]	**Airbnb India, "Never the Same" (YouGov, n = 2,012, Apr 2026)** news.airbnb.com/en-in/new-report-never-the-same-reveals-how-indias-gen-z-travels/	Commissioned research	Gen Z group bookings, stays, intent
[4]	**ANI, Gen Z hosts in India, 25 Aug 2026** aninews.in/news/business/indian-gen-zs-drive-homestay-growth-as-earnings-rise-over-60-yoy-in-h1-2026-airbnb20260825183937/	Press (Airbnb data)	Gen Z host growth, share of new hosts
[5]	**Hostfully, "Airbnb Host Fees: the 15.5% host-only fee" (2026)** hostfully.com/blog/airbnb-host-fees/	Industry guide	Fee structure and migration dates
[6]	**Hospitable, "Airbnb Experiences"** hospitable.com/airbnb-experiences	Industry guide	Experiences 20% commission
[7]	**Colliers via The Tribune, 8 May 2025** tribuneindia.com/news/business/indias-co-living-market-inventory-set-at-1-million-beds-by-2030-colliers	Public research	Co-living beds, demand, rent gap
[8]	**Telangana Today, 11 Apr 2025** telanganatoday.com/finding-pgs-hostels-in-and-around-hyderabads-it-corridor-proves-daunting	Public user voice	PG listing and safety complaints, rents
[9]	**Housing.com News, 21 Oct 2020** housing.com/news/what-paying-guests-say-about-life-in-a-pg-accommodation/	Public user voice	PG curfew and food complaints (10 accounts)

Planning figures P**:** baseline host action 8% · pro host books ₹40,000 a month · budget booking ₹3,000 and ₹6,000 stay · variable cost 6% of booking value · Host Pro conversion 15% · all RICE inputs · all thresholds. Replace with Airbnb internal figures at each gate.

Frameworks applied: PMF and MVP as learning · hypothesis (population, treatment, outcome) · A/B test with holdout · growth loops vs funnels · Hook model · Ansoff matrix · RICE · JTBD · 5 Whys · revenue model vs pricing model (penetration, value-added, loss-leader).

Links accessed Nov 2026